should we prohibit funds that are relying on rule 30e-3 from also relying on proposed rule 498B?

210. To what extent, if any, should the scope of these amendments be extended to exclude other types of investment companies from relying on rule 30e-3? If we were to do this, how should we modify the rule to apply (or not) in contexts where other types of investment companies (for example, registered closed-end funds and BDCs, and ETFs that are organized as unit investment trusts) have different shareholder report requirements and would not have the layered disclosure framework for existing investors that we propose for open-end management investment companies?

211. Under our proposal, funds planning to rely or currently relying on rule 30e-3 would not be required to provide notice to investors of the proposed amendments to rule 30e-3 because the amendments would result in those investors directly receiving information tailored to their informational needs. Should we require such notice to investors and, if so, to what extent should we specify the form, timing, and substance of such notice?

212. Are there any difficulties that funds that have already begun to rely on rule 30e-3 would encounter in complying with the proposed changes to the scope of rule 30e-3? What difficulties would these be, and what Commission actions could help mitigate these difficulties? Should the Commission, for example, provide a longer compliance period in connection with any adoption of the proposed amendments to rule 30e-3? If so, should we delay the effectiveness of rule 498B for the same period of time to avoid a period where existing shareholders do not directly receive either a shareholder report or an annual prospectus update?

H. Proposed Amendments to Fund Prospectus Disclosure Requirements

We are also proposing several amendments to the content of funds' prospectuses. Specifically, two of the critical elements in prospectus disclosure relate to (1) fees and (2) risks, and we are proposing certain changes that we believe will improve disclosure regarding these topics. Our goal is to provide greater clarity and more comparable information with regard to fees and risks and by doing so, improve investor comprehension and facilitate investors' ability to make informed investment decisions.[545]

1. Improved Prospectus Fee Disclosures

In addition to proposing amendments to fee presentation in shareholder reports, we are proposing improvements to prospectus disclosure about fund fees. These fee presentations are different because the annual report expense presentation is designed to help fund shareholders assess and monitor their ongoing fund investments looking back over the prior period, while the prospectus disclosure helps investors assess a prospective fund investment and is based on the fund's current estimated fees.

When considering investing in a fund, fees and expenses are an important factor investors should consider. Fees and expenses can significantly affect a fund's returns. For example, a fund with higher costs must have higher returns than a fund with lower costs to generate the same performance. In addition, differences in costs that appear to be small, for example on an annual basis, may have a large impact when comparing returns of funds over time. Funds disclose their fees in the prospectus and the annual and semi-annual reports. The presentations in each of these contexts disclose information about fees and expenses in a standardized format to help investors compare that information across funds. Despite these

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[545] *See supra* Section II.A.

existing disclosure requirements and educational efforts, the degree to which investors understand fund fees and expenses remains a significant source of focus and attention, and the Commission and staff have continually sought to improve investors' understanding in this area.[546]

We are proposing revisions to simplify the presentation of fees and expenses in the prospectus and help increase investor comprehension.[547] These proposed amendments respond to feedback that commenters provided in response to the Fund Investor Experience RFC.[548] We are proposing to replace the current fee table in the summary section of the statutory prospectus with a "fee summary."[549] The goal of this simplified fee summary would be to streamline the presentation of fees and provide an easier-to-understand presentation that includes fewer data points to help provide a clearer picture of the total costs of investing in a fund. The current fee table, which includes additional detail, would be moved to the statutory

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546 *See, e.g.,* Investor Bulletin: Mutual Fund Fees and Expenses (May 12, 2014), *available at* https://www.investor.gov/additional-resources/news-alerts/alerts-bulletins/investor-bulletin-mutual-fund-fees-expenses; How to Read a Mutual Fund Shareholder Report, *supra* footnote 316.

547 *See* Items 3, 8A, and 27A of proposed Form N-1A. Similarly, we are proposing revisions to simplify fee and expense presentations in annual and semi-annual reports. *See supra* Sections II.B.2.b and II.C.1.

548 The Fund Investor Experience RFC Feedback Flier solicited feedback on the presentation of fees. In response to the question, "Do you think funds clearly disclose their fees and expenses?" 21 of 34 commenters (or 62%) responded that fund fees are not clearly disclosed. In response to the question "How could funds improve the disclosure of fees and expenses?" 21 of 27 commenters (or 78%) responded that fund fee presentations should be simplified.

See also Recommendation of the Investor Advisory Committee Regarding Mutual Fund Disclosure (Apr. 14, 2016), *available at* https://www.sec.gov/spotlight/investor-advisory-committee-2012/recommendation-mf-fee-disclosure-041916.pdf ("Through testing, the Commission could identify ways to simplify and clarify the fee table").

549 *See* proposed Item 3 to Form N-1A.

prospectus, where it could be used by investors who want additional details about fund fees to supplement the fee summary.[550] In addition, we are proposing to replace certain terms in the current fee table with terms that we believe investors would more easily understand (these terms would also be used in the fee summary, as applicable).

We are also proposing to permit funds that make limited investments in other funds to disclose AFFE, the fees and expenses associated with those investments, in a footnote to the fee table and fee summary instead of reflecting AFFE as a line item in the fee table and fee summary (as all funds do today).[551] This proposed amendment is designed to enhance consistency of funds' prospectus fee disclosure in recognition that, for funds whose investments in other funds are limited, the fees and expenses of the underlying funds may more closely resemble other costs of investment that are not currently reflected in the prospectus fee table.

a. Current Prospectus Fee Disclosure

Currently, funds must provide two separate presentations of fee information in the prospectus: (1) a table under the heading "Fees and Expenses of the Fund," (the "fee table") which shows shareholder transaction fees and annual fund operating expenses, generally in terms of a percentage of the amount invested in the fund; and (2) an example, which is a hypothetical calculation that shows the estimated expenses, in dollars, that an investor will pay for investing in a fund over different time periods.[552]

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550 *See* proposed Item 8A of Form N-1A.

551 *See supra* footnote 148 and accompanying text (noting that a fund's shareholder expense presentation does not reflect AFFE because this is not included in a fund's financial statements); *see also infra* footnotes 605 and 606 and accompanying text (discussing current AFFE disclosure requirements).

552 *See* Item 3 of Form N-1A.

The fee table currently includes two categories of fees: "shareholder fees" and "annual fund operating expenses." Shareholder fees are charges that investors pay directly—they are deducted from the amount that an investor invests in the fund. These charges typically appear as a percentage of the amount invested, and include:

- Sales charges (also known as "loads"), which generally pay investment professionals compensation for selling shares of a fund to an investor; and
- Other applicable fees related to redemptions, exchanges, and account fees.

Some shareholder transaction fees appear as a dollar amount in the fee table.

Annual fund operating expenses are charges that an investor pays indirectly, because these charges are deducted from fund assets. Annual fund operating expenses appear as a percentage of net assets and generally include:

- "Management fees," which a fund pays to its investment adviser for deciding which investments the fund buys and sells and for providing other related services;
- "Rule 12b-1 fees," which pay for marketing and selling fund shares;
- "Other expenses," which represent various categories, such as auditing, legal, custodial, transfer agency fees, and interest expense; and
- For funds that invest in other funds, AFFE (the fees and expenses of acquired funds).[553]

A fund may also reflect certain waivers that may reduce the fund's total fees.[554]

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553 *Id.*, *see also* rule 12b-1 under the Investment Company Act.

554 Instruction 3(e) to Item 3 Form N-1A.